

Let's take a look at this chart pattern.

Tour

[Figure 25.1](#) shows an example of what a diving board pattern looks like on the weekly scale. The *board* portion of the pattern is at A (I emphasize *board* because I refer to it often in this chapter. It's the flat movement before the plunge). Price moves horizontally with the bottom of the board flat or nearly so. The board is often weeks to months long. Following the end of the board, price doesn't just drop or meander lower, it plunges. So I call the steep drop (to B) a *plunge* (that is, the drop from the board end to the subsequent low), a term I'll refer to in this chapter.

The plunge is often severe, carrying price lower for several weeks to months. If a swing trader can determine when the stock bottoms, there's money to be made riding the recovery. You can think of this pattern as a small or shorter version of a cloudbank pattern (see the chapter on cloudbanks) and ride the stock back to the cloud base (the board).